



Highland Computer Forms, inc.

Employee Handbook

Table of Contents

	Page
Welcome To The Forms Leader!	1
Using This Handbook.....	2
Our History.....	4
Our Work Environment.....	6
EQUAL EMPLOYMENT OPPORTUNITY POLICY STATEMENT	6
NON-DISCRIMINATION AND ANTI-HARASSMENT POLICY	6
AMERICANS WITH DISABILITIES ACT POLICY STATEMENT	9
Employment.....	11
AT-WILL EMPLOYMENT.....	11
EMPLOYEE CLASSIFICATIONS AND DEFINITIONS	11
ANNIVERSARY DATE.....	12
ANTI-NEPOTISM POLICY	12
OPEN COMMUNICATION.....	13
Benefits And Time Off.....	14
INSURANCE	14
VACATIONS.....	14
HOLIDAYS.....	15
BEREAVEMENT LEAVE.....	16
LEAVE UNDER THE FAMILY AND MEDICAL LEAVE ACT ("FMLA")	16
JURY DUTY AND WITNESS SERVICE	20
MILITARY LEAVE	21
On The Job	23
HOURS OF OPERATION.....	23
PAY PRACTICES	23
PERSONNEL RECORDS	25
EMPLOYEE ATTENDANCE AND PUNCTUALITY	25
PERFORMANCE PLANNING AND REVIEWS.....	26
TOBACCO POLICY	27
COMPANY EQUIPMENT AND SUPPLIES.....	27
WIRELESS PHONE USE	27
CONFIDENTIALITY	28
CONFLICTS OF INTEREST AND OUTSIDE EMPLOYMENT	29
COMPUTER SYSTEM	31
ELECTRONIC COMMUNICATIONS POLICY	32
INTERNET USE POLICY	34

Table of Contents

	Page
RULES OF CONDUCT	36
DRIVER LICENSE & DRIVING RECORD	37
INTERNAL INVESTIGATIONS AND SEARCHES	38
SOLICITATION.....	38
RESIGNATION	39
REFERENCE CHECKS	39
Workplace Safety	40
YOUR PERSONAL SAFETY	40
WORKERS' COMPENSATION BENEFITS.....	41
VIOLENCE IN THE WORKPLACE.....	41
DRUG AND ALCOHOL TESTING.....	43
Attachment	
- Receipt For Employment Handbook	
- Receipt For Drug And Alcohol Policy	

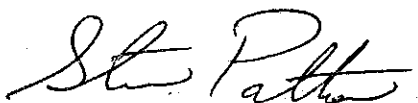
Welcome to the Forms Leader!

Dear Colleague:

We are happy that you have chosen to be a member of the Highland Computer Forms team. We believe that you will find your employment with us to be both rewarding and challenging. We have given careful consideration to providing a work environment that encourages all of our employees to treat each other with mutual respect, allows you to conduct your work productively and safely, and provides a good balance between your work and personal responsibilities.

This handbook contains information on many items that are important for you to understand in order to meet HCF's objective of providing an excellent workplace and a dedicated team of employees. Please read this information thoroughly and ask questions if something is unclear to you.

Thank you for being part of the HCF team!



Using this Handbook

There are several things that are important to keep in mind about this Handbook. First, it contains only general information and guidelines. It is not intended to be comprehensive or to address all the possible applications of, or exceptions to, the general policies and procedures described. For that reason, if you have any questions concerning eligibility for a particular benefit, or the applicability of a policy or practice to you, you should address your specific questions to your supervisor, Plant Manager, the Company's Controller, Vice President of Operations or President.

Second, as used within this Handbook, Highland Computer Forms, Inc. means and is referred to as "HCF" or "the Company." HCF conducts business throughout the United States but is based at its home office in Hillsboro, Ohio. We are an Ohio company. Some state's laws may vary the applicability of provisions contained herein. Every effort is made to comply with specific state requirements effecting your employment with the company, but this Handbook cannot be, and is not meant to be a substitute for review of your state's regulations. For that reason, if you have any questions concerning eligibility for a particular benefit, or the applicability of a policy or practice to you, you should address your specific questions to the home office.

Third, neither this Handbook nor any other document, confers any contractual right, either express or implied, to remain in HCF's employ. Nor does it guarantee any fixed terms and conditions of your employment. Your employment is not for any specific time, definite or indefinite, and may be terminated at-will, with or without cause and without prior notice, by the Company or you may resign at your own volition at any time. **This relationship is often referred to as "employment-at-will."** No supervisor or other representative of the Company (except the President) has the actual authority to enter into any agreement, oral or written, for employment for any specified period of time, or to make any agreement contrary to the above. Further in those instances where the Company does desire to enter into an employment agreement, any employment agreement with the Company must be in writing signed by the President, and no oral statement or agreement can constitute such an agreement.

Fourth, the procedures, practices, policies and benefits described here may be modified or discontinued from time to time. We will try to inform you of any changes as they occur. A copy of this Handbook is maintained at the home office in the current form with all updates, and is available to you at your request. Please note that this Handbook replaces (supersedes) all other previous employment-related policies for HCF on the subjects discussed herein.

Fifth, this Handbook and the information in it should be treated as secret and confidential. It is considered proprietary and protected business information and no portion of this Handbook should be disclosed to others, reproduced or copied in any way to include by computer, photocopier, facsimile, mechanical or electronic means, except by HCF

employees and others affiliated with HCF whose knowledge of the information is required in the normal course of business.

Our History

From the moment Highland Computer Forms opened in 1980, we have seen our company as a group of people working together to do an excellent job for our customers. Our success is due to hiring the right people who work well together toward a common goal.

When our product doesn't seem up to par, we look to our employees to find out what went wrong. We make changes as we see are needed. Rarely is one person expected to take the final responsibility for an error or a job we're not pleased with. Every person is expected to do his or her job well. With the support we give each other and the excitement and enthusiasm we generate together, excellence never seems far from our reach. We are a company that is expanding, growing, and moving constantly to new challenges. We can't do it without you.

Highland Computer Forms opened its doors in January of 1980 in a small plant at 915 North Fifth Street in Greenfield, Ohio. The company was started by Philip D. Wilson, previously manager for a similar computer forms manufacturer. He remains chairman of the board. The company was privately held by Mr. Wilson and Mr. James Van Zant of Hillsboro, but in March of 1989, Mr. Wilson purchased 100% of the Highland Computer Forms stock.

Highland—named for the county in which it was originated, began with three press operators and three machines. From that time, growth came quickly—almost too quickly. By 1981, Highland Computer Forms was running three shifts, oftentimes six days a week. That mandated more floor space so Highland Computer Forms moved into a larger facility at 1055 North Washington Street, Greenfield, Ohio.

The owner made an important decision in the summer of 1984, to open the second full service manufacturing plant. That decision became a reality in September of 1985, when Highland Computer Forms began manufacturing at 1510 Wohlert Street, Angola, Indiana.

Then tragedy struck on November 17, 1986. A fire started early that Monday morning. Fortunately, the owners were able to move the company to an existing building at 1025 West Main Street in Hillsboro, Ohio. After the move this "small company" pulled together and made growth plans that included still another full-service manufacturing plant in York, Pennsylvania.

The York, Pennsylvania plant was opened in September of 1988. The business quickly grew at all locations making it necessary to open a fourth location.

The next site that was chosen was Jackson, Tennessee, opening their doors in December of 1989. With this location opening, Highland could now provide next day delivery service East of the Mississippi River. This has given Highland Computer Forms an advantage over their competitors.

In July of 1999, Economy Data Pro (EDP) was acquired. This company had locations in Iowa and New Jersey, in addition to several public warehouse facilities. This acquisition provided growth from additional customer base and a new presence west of the Mississippi River.

In May of 2000, a plant operated by OEI in the Des Moines, IA area was acquired and shortly thereafter both Iowa facilities were combined in one building. This new Urbandale, IA location not only provided a shipping point farther west, but also new capabilities which increased our product line.

Today we still focus on the reasons this company was initially started. To provide outstanding service to our customers and provide excellent job opportunities in the communities in which we operate.

Our Work Environment

Equal Employment Opportunity Policy Statement

Equal employment opportunity has been, and will continue to be, a fundamental principle at Highland Computer Forms, Inc. where employment is based upon personal capabilities and qualifications without discrimination because of race, color, religion, sex, age, national origin, disability, or any other protected characteristic as established by law.

This policy of equal employment opportunity applies to all policies and procedures relating to recruitment and hiring, compensation, benefits, termination and all other terms and conditions of employment.

Equal employment opportunity notices are posted on appropriate employee bulletin boards as required by law. The notices summarize the rights of employees to equal opportunity in employment and lists the names and addresses of the various government agencies that may be contacted in the event that any person believes he or she has been discriminated against.

HCF's Vice President of Operations has overall responsibility for this policy and maintains reporting and monitoring procedures. Employees' questions or concerns should be referred to their supervisor, Plant Manager, the Company's Controller, Vice President of Operations or President. Alleged violations of this policy will be thoroughly investigated and corrective action will be taken, if warranted.

Non-Discrimination and Anti-Harassment Policy

Highland Computer Forms, Inc. is committed to a work environment in which all individuals are treated with respect and dignity. Each individual has the right to work in a professional atmosphere that promotes equal employment opportunities and prohibits discriminatory practices, including harassment. Therefore, the Company expects that all relationships among persons in the workplace will be business-like and free of bias, prejudice and harassment.

It is the policy of HCF to promote and practice equal employment opportunity without discrimination or harassment on the basis of race, color, national origin, religion, sex, age, disability, or any other characteristic protected by law. The Company prohibits and will not tolerate any such discrimination or harassment.

Definitions of Harassment:

- a. Sexual harassment constitutes discrimination and is illegal under federal and state laws. For the purposes of this policy, sexual harassment is defined, as in the Equal Employment Opportunity Commission Guidelines, as unwelcome sexual advances, requests for sexual favors and other verbal or physical conduct of a

sexual nature when, for example: (i) submission to such conduct is made either explicitly or implicitly a term or condition of an individual's employment; (ii) submission to or rejection of such conduct by an individual is used as the basis for employment decisions affecting such individual; or (iii) such conduct has the purpose or effect of unreasonably interfering with an individual's work performance or creating an intimidating, hostile or offensive working environment.

- b. Harassment on the basis of any other protected characteristic is also strictly prohibited. Under this policy, harassment is verbal or physical conduct that denigrates or shows hostility or aversion toward an individual because of his/her race, color, national origin, religion, sex, age, disability or any other characteristic protected by law or that of his/her relatives, friends or associates, and that: (i) has the purpose or effect of creating an intimidating, hostile or offensive work environment; (ii) has the purpose or effect of unreasonably interfering with an individual's work performance; or (iii) otherwise adversely affects an individual's employment opportunities.

Individuals and Conduct Covered

These policies apply to all applicants and employees, and prohibit harassment, discrimination and retaliation whether engaged in by fellow employees, by a supervisor or manager.

Conduct prohibited by these policies is unacceptable in the workplace and in any work-related setting outside the workplace, such as during business trips, business meetings and business-related social events.

Retaliation Is Prohibited

HCF prohibits retaliation against any individual who reports discrimination or harassment or participates in an investigation of such reports. Retaliation of any kind against an individual for reporting harassment or discrimination or for participating in an investigation of a claim of harassment or discrimination is a serious violation of this policy and, like harassment or discrimination itself, will be subject to disciplinary action up to and including termination.

Complaint Procedure

Reporting an Incident of Harassment, Discrimination or Retaliation

HCF requires the reporting of all incidents of discrimination, harassment or retaliation, regardless of the offender's identity or position. Individuals who believe they have experienced conduct that they believe is contrary to the Company's policy or who have

concerns about such matters should file their complaints with their supervisor, Plant Manager, the Company's Controller, Vice President of Operations or President.

When reporting an incident of harassment, discrimination or retaliation, it's important for employees to know that:

- They should not feel obligated to file their complaints with their immediate supervisor first before bringing the matter to the attention of one of the other HCF designated representatives identified above, and
- Their initial complaint does not have to be in writing.

Important Notice to All Employees

Employees who have experienced conduct they believe is contrary to this policy have an obligation to take advantage of this complaint procedure. An employee's failure to fulfill this obligation could affect his or her rights in pursuing legal action. Also, please note, federal, state and local discrimination laws establish specific time frames for initiating a legal proceeding pursuant to those laws.

Early reporting and intervention have proven to be the most effective method of resolving actual or perceived incidents of harassment. HCF strongly urges the prompt reporting of complaints or concerns so that rapid and constructive action can be taken. The Company will make every effort to stop alleged harassment before it becomes severe or pervasive, but can only do so with the cooperation of its employees.

The availability of this complaint procedure does not preclude individuals who believe they are being subjected to harassing conduct from promptly communicating to the offender that his/her behavior is unwelcome and requesting that it be discontinued.

Investigation Procedures

Any reported allegations of harassment, discrimination or retaliation will be investigated promptly, thoroughly and impartially. The investigation may include individual interviews with the parties involved and, where necessary, with individuals who may have observed the alleged conduct or may have other relevant knowledge.

Confidentiality will be maintained throughout the investigatory process to the extent consistent with adequate investigation and appropriate corrective action.

Responsive Action

Misconduct constituting harassment, discrimination or retaliation will be dealt with promptly and appropriately. Responsive action may include, for example, training, referral to counseling, monitoring of the offender and/or disciplinary action such as warning, reprimand, withholding of a promotion or pay increase, reduction of wages,

demotion, reassignment, temporary suspension without pay, or termination, as the Company believes appropriate under the circumstances.

The law and the policies of HCF prohibit disparate treatment on the basis of sex or any other protected characteristic, with regard to terms, conditions, privileges and perquisites of employment. The prohibitions against harassment, discrimination and retaliation are intended to complement and further these policies, not to form the basis of an exception to them.

Americans with Disabilities Act Policy Statement

Highland Computer forms, Inc. is committed to complying with all applicable provisions of the Americans with Disabilities Act ("ADA"). It is HCF's policy not to discriminate against any qualified employee or applicant with regard to any terms or conditions of employment because of such individual's disability or perceived disability so long as the employee can with or without accommodation perform the essential functions of the job. Consistent with this policy of nondiscrimination, the Company will provide reasonable accommodations to a qualified individual with a disability, as defined by the ADA, who has made the Company aware of his or her disability, provided that such accommodation does not constitute an undue hardship on the Company as provided by law.

Employees with a disability who believe they need a reasonable accommodation to perform the essential functions of their job should contact their immediate supervisor, Plant Manager, the Company's Controller, Vice President of Operations or President. HCF encourages individuals with disabilities to come forward and request reasonable accommodation.

Procedure for Requesting an Accommodation

On receipt of an accommodation request a company representative will meet with you and your supervisor to discuss and identify the precise limitations resulting from the disability and the potential accommodation that HCF might make to help overcome those limitations. Determining if a reasonable accommodation can be made is an individualized process that will take into account not only the specific abilities and functional limitations of a particular individual with a disability, but also the functional requirements of a particular job.

The ADA does not require HCF to make the best possible accommodation, to reallocate to other employees your essential job functions, or to provide what would be personal use items (i.e., eyeglasses, hearing aids, wheelchairs etc.). The Company is not required to make a reasonable accommodation if it would impose an undue hardship on the operation of the business. Generally, an accommodation will be considered an undue hardship if it is unduly costly, extensive, substantial, disruptive or if it would fundamentally alter the nature or operation of the business.

An employee or job applicant who has questions regarding this policy or believes that he or she has been discriminated against based on a disability should immediately notify their supervisor, the Company's Controller, Vice President of Operations or President. All such inquiries or complaints will be treated as confidential to the extent permissible by law.

At-Will Employment

All employment with HCF is "at-will." This means that your employment is not for any specific time, definite or indefinite, and may be terminated at-will, with or without cause and without prior notice, by the Company or you may resign at your own volition at any time. No supervisor or other representative of the Company (except the President) has the actual authority to enter into any agreement, oral or written, for employment for any specified period of time, or to make any agreement contrary to the above. Any employment agreement with the Company must be in writing signed by the President.

Employee Classifications and Definitions

At the time you are hired, you are classified as a full-time, part-time or temporary employee. Unless otherwise specified, company-sponsored benefits apply only to full-time employees. All other policies described in this Handbook and communicated by HCF apply to all employees.

If you are unsure of which job classification your position fits into, please contact the Company's Controller, Vice President of Operations or President.

Full-Time Employees

An employee who works a regular schedule of at least 32 hours per week is considered a regular full-time employee.

Part-Time Employees

An employee who works less than a regular 32-hour workweek is considered a part-time employee. If you are a part-time employee, please understand that you are not eligible for benefits described in this Handbook, except as granted on occasion, or to the extent required by provision of state and federal laws.

There may be workweeks in which a part-time employee will work more than 40 hours. This does not change an employee's part-time classification or his or her eligibility for benefits described in this Handbook.

Temporary Employees

To meet our customer's needs, HCF may hire employees for specific periods of time or for the completion of a specific project. An employee hired under these conditions will be considered a temporary employee. The job assignment, work schedule and duration of the position will be determined on an individual basis.

Normally, a temporary position will not exceed six months in duration, unless specifically extended by a written agreement. Interns and summer employees are considered temporary employees.

If you are a temporary employee, please understand that you are not eligible for company-sponsored benefits, except as granted on occasion, or to the extent required by provision of state and federal laws.

Anniversary Date

An employee's anniversary date is defined as the annually reoccurring date after his or her first day on the job with the company. Performance reviews are generally completed annually on each employee. Although a salary adjustment never automatically follows a performance review, if a review cannot be completed prior to the employee's anniversary date, and a salary adjustment is in order, it will be made retroactive to the anniversary date.

Employees who are re-employed by the company after termination will lose their original anniversary date for all purposes and will be assigned a new date corresponding to their first day on the job after re-employment. This policy shall not apply to layoffs or to an employee who was erroneously terminated for cause and later reinstated.

Anti-Nepotism Policy

Members of an employee's immediate family will be considered for employment on the basis of their qualifications. An immediate family member may not be hired, however, if their employment would:

1. Create a supervisor/subordinate relationship with a family member who is not a shareholder of the company;
2. Have the potential for creating an adverse impact on work performance; or
3. Create either an actual conflict of interest or the appearance of a conflict of interest.

For the purpose of this policy, immediate family includes: spouse, parent, child, sibling, in-law, aunt, uncle, niece, nephew, grandparent, grandchild, and household members. This policy also applies to romantic relationships.

Employees who become immediate family members or establish a romantic relationship may continue employment as long as it does not involve any of the above conditions. If one of the conditions outlined above should occur, attempts will be made to find a suitable position within HCF to which one of the employees will transfer. If employees become immediate family members or establish a romantic relationship, the Company will make reasonable efforts to assign job duties so as to minimize problems of

supervision, safety, security or morale. If accommodations of this nature are not feasible, the company will decide in its discretion who will remain employed.

Open Communication

HCF promotes an atmosphere whereby employees can talk freely with members of the management staff. We are interested in the success and happiness of all our employees; therefore, we welcome the opportunity to help employees whenever feasible.

Employees are encouraged to openly discuss with their supervisor any problems so appropriate action may be taken. We hope that your supervisor will be able to satisfactorily resolve most matters. If you find that you still have questions after meeting with your supervisor or that you would like further clarification on the matter, you may request a meeting with your plant manager, the Company's Controller, Vice President of Operations or President.

Individuals who have questions about HCF's Non-discrimination and Anti-harassment policy or who believe they have experienced conduct that is contrary to this policy should not feel obligated to talk with their immediate supervisor first. The complaint procedure for reporting an incident of harassment, discrimination or retaliation is discussed in the Non-discrimination and Anti-harassment policy that is contained within this Handbook.

Your suggestions and comments on any subject are important to us so we encourage you to take every opportunity to discuss them with us. Your job will not be adversely affected in any way because you choose to use this policy.

Benefits and Time Off

Insurance

All regular full-time employees are eligible to participate in HCF's company-sponsored benefit plans. Your eligibility and the benefits provided are determined by the plan documents maintained in our home office. If you elect to participate in a specific plan, information regarding election periods, plan benefits and the cost of coverage will be provided to you separately.

The value of benefits such as Company contributions to insurance plans and paid time off is an often-overlooked component of an employee's compensation. These "hidden" paycheck items represent a significant investment in our employees and helps comprise a total compensation package that we feel is very competitive within our industry and locally within the cities we operate.

Continuation Coverage

The federal Consolidated Omnibus Budget Reconciliation Act (COBRA) gives employees and their qualified beneficiaries the opportunity to continue health and dental insurance coverage under HCF's group plan when a "qualifying event" would normally result in the loss of eligibility. Some common qualifying events include, but are not limited to, resignation, termination of employment, or death of an employee; a reduction in an employee's hours or a leave of absence; an employee's divorce or legal separation; and a dependent child no longer meeting eligibility requirements.

Under COBRA, the employee or beneficiary pays the full cost of coverage at HCF's group rates plus an administration fee. HCF provides each eligible employee with a written notice describing rights granted under COBRA when the employee becomes eligible for continuation coverage under a company-sponsored group plan. The notice contains important information about the employee's rights and obligations.

Vacations

Vacation benefits are based on the employee's anniversary date for the first two years of employment with HCF. A one-week vacation is provided after the anniversary date each year. The employee receives two weeks vacation as of January 1 of the next calendar year after the second anniversary date and each year thereafter. As of January 1st following their 5th anniversary date, the employee receives three (3) weeks vacation; as of January 1st following their 10th anniversary date, the employee is provided 4-weeks vacation. Regular part-time employees are not eligible to receive paid vacation.

Employees are responsible for planning ahead for vacation and working out a complete schedule with his or her supervisor/manager. Normally, two weeks advance notice of

vacation is expected and necessary to ensure adequate time for HCF to reorganize work schedules.

HCF reserves the right to refuse a requested vacation period based on business conditions at the time of the vacation. HCF can refuse to allow two employees to be off during the same period.

Granting an employee's request for vacation will be based on the employee's time-in-service until May 1. After May 1, the decision to approve a vacation request will be on a first come first serve basis.

Please note that vacation checks are not issued before vacations. Accumulated but unused vacation time will not be paid to employees upon resignation or involuntary termination.

Holidays

HCF provides paid holidays each year to full-time employees. The company is officially closed on these days:

- New Years Day
- Good Friday
- Memorial Day
- Independence Day
- Labor Day
- Thanksgiving Day
- Day after Thanksgiving
- Christmas Eve
- Christmas Day

If these holidays fall on Saturday, the preceding Friday will be a holiday. If they fall on Sunday, the following Monday will be a holiday.

Eligibility for Holiday Pay

Employees must work their last scheduled day before a holiday and their first scheduled working day following the holiday to be eligible for holiday pay unless time off on these days has been excused with proper notice. Only regular full-time employees that have been employed more than 30 days are eligible for full holiday pay. Regular part-time employees and temporary employees are not eligible for holiday pay.

Scheduled work on holidays is discouraged since the company sees the purpose of holidays as a provision for employee relaxation. If an employee is required to work on a scheduled holiday, the employee will be paid for hours worked at his or her regular pay in addition to holiday pay.

If a designated holiday falls within an employee's vacation period, the holiday is not considered a vacation day.

Bereavement Leave

The company will provide time off to employees for funerals of family members and friends. Your supervisor will approve whatever period of time is necessary and appropriate under the circumstances.

Employees will receive three days of paid leave taken for the death of an immediate family member. Leave taken for other family members and friends will be without pay. For purposes of this policy, "immediate family" is defined as a spouse, child, father, mother, brother, sister, father-in-law and mother-in-law.

Leave Under The Family And Medical Leave Act ("FMLA")

The Family and Medical Leave Act (FMLA) provides eligible employees with up to 12 workweeks of unpaid leave for certain family and medical reasons during a 12-month period. During this leave, an eligible employee is entitled to continued group health plan coverage as if the employee had continued to work. At the conclusion of the leave, subject to some exceptions, an employee generally has a right to return to the same or to an equivalent position.

Employee Eligibility Criteria

To be eligible for FMLA leave, an employee must have been employed by Highland Computer Forms:

- For at least 12 months (which need not be consecutive);
- For at least 1250 hours during the 12-month period immediately preceding the commencement of the leave; and
- At a worksite (a) with 50 or more employees; or (b) where 50 or more employees are located within 75 miles of the worksite.

Events Which May Entitle an Employee to FMLA Leave

FMLA leave may be taken for any one, or for a combination of, the following reasons:

- The birth of the employee's child or to care for the newborn child;
- The placement of a child with the employee for adoption or foster care or to care for the newly placed child;
- To care for the employee's spouse, child or parent (but not in-law) with a serious health condition; and/or
- The employee's own serious health condition that makes the employee unable to

perform one or more of the essential functions of his or her job.

A "serious health condition" is an injury, illness, impairment, or physical or mental condition that involves inpatient care or continuing treatment by a health care provider.

How Much FMLA Leave May Be Taken

The 12-Month Period

An eligible employee is entitled to up to 12 workweeks of unpaid leave during a 12-month period for any FMLA qualifying reason(s). The 12-month period is a rolling period of time measured backward from the date an employee uses any FMLA leave.

Limitations on FMLA Leave

Leave to care for a newborn or for a newly placed child must conclude within 12 months after the birth or placement of the child.

When both spouses are employed by HCF, they are together entitled to a combined total of 12 workweeks of FMLA leave within the designated 12-month period for the birth, adoption or foster care placement of a child with the employees, for aftercare of the newborn or newly placed child, and to care for a parent (but not in-law) with a serious health condition. Each spouse may be entitled to additional FMLA leave for other FMLA qualifying reasons (i.e., the difference between the leave taken individually for any of the above reasons and 12 workweeks, but not more than a total of 12 workweeks per person).

For example, if each spouse took 6 weeks of leave to care for a newborn child, each could later use an additional 6 weeks due to his/her own serious health condition or to care for a child with a serious health condition.

Intermittent or Reduced Work Schedule Leave

Intermittent leave is leave taken in separate blocks of time. A reduced work schedule leave is a leave schedule that reduces an employee's usual number of hours per workweek or hours per workday.

Leave to care for a newborn or for a newly placed child may not be taken intermittently or on a reduced work schedule unless HCF agrees with respect to an individual request.

Leave because of an employee's own serious health condition, or to care for an employee's spouse, child or parent with a serious health condition, may be taken all at once or, where medically necessary, intermittently or on a reduced work schedule.

If an employee takes leave intermittently or on a reduced work schedule basis, the employee must, when requested, attempt to schedule the leave so as not to unduly disrupt

HCF's operations. When an employee takes intermittent or reduced work schedule leave for foreseeable planned medical treatment, HCF may temporarily transfer the employee to an alternative position with equivalent pay and benefits for which the employee is qualified and which better accommodates recurring periods of leave.

Requests for FMLA Leave

An employee should request FMLA leave by completing HCF's Request for Leave form and submitting it to HCF's Human Resources Coordinator.

When leave is foreseeable for childbirth, placement of a child or planned medical treatment for the employee's or family member's serious health condition, the employee must provide HCF with at least 30 days advance notice, or such shorter notice as is practicable (i.e., within 1 or 2 business days of learning of the need for the leave). When the timing of the leave is not foreseeable, the employee must provide HCF with notice of the need for leave as soon as practicable (i.e., within 1 or 2 business days of learning of the need for the leave).

Required Documentation

When leave is taken to care for a family member, HCF may require the employee to provide documentation or statement of family relationship (e.g., birth certificate or court document).

An employee may be required to submit medical certification from a health care provider to support a request for FMLA leave for the employee's or a family member's serious health condition. Medical certification forms are available from local plant managers or at the home office from the Human Resources Coordinator.

The Company may seek an employee's permission to have a designated health care provider contact the employee's health care provider in an effort to clarify or authenticate the initial certification and/or (ii) require the employee to obtain a second opinion by an independent HCF-designated provider at the Company's expense. If the initial and second certifications differ, HCF may, at its expense, require the employee to obtain a third, final and binding certification from a jointly selected health care provider.

During FMLA leave, HCF may request that the employee provide recertification of a serious health condition at intervals in accordance with the FMLA. In addition, during FMLA leave, the employee must provide HCF with periodic reports regarding the employee's status and intent to return to work. If the employee's anticipated return to work date changes and it becomes necessary for the employee to take more or less leave than originally anticipated, the employee must provide HCF with reasonable notice (i.e., within 2 business days) of the employee's changed circumstances and new return to work date. If the employee gives HCF notice of the employee's intent not to return to work, the employee will be considered to have voluntarily resigned.

Before the employee returns to work from FMLA leave for the employee's own serious health condition, the employee may be required to submit a fitness for duty certification from the employee's health care provider, with respect to the condition for which the leave was taken, stating that the employee is able to resume work.

FMLA leave or return to work may be delayed or denied if the appropriate documentation is not provided in a timely manner. Also, a failure to provide requested documentation of the reason for an absence from work may lead to termination of employment.

Use of Paid and Unpaid Leave

FMLA provides eligible employees with up to 12 workweeks of unpaid leave. If an employee has available vacation, however, the employee must use any qualifying paid leave first. The remainder of the 12 workweeks of leave, if any, will be unpaid FMLA leave.

Any paid leave used for a FMLA qualifying reason will be charged against an employee's entitlement to FMLA leave. This includes leave for disability or workers' compensation injury/illness, provided that the leave meets FMLA requirements. The substitution of paid leave for unpaid leave does not extend the 12-workweek leave period.

Designation of Leave

HCF will notify the employee that leave has been designated as FMLA leave. HCF may provisionally designate the employee's leave as FMLA leave if the Company has not received medical certification or has not otherwise been able to confirm that the employee's leave qualifies as FMLA leave. If the employee has not notified HCF of the reason for the leave, and the employee desires that leave be counted as FMLA leave, the employee must notify the Human Resources Department within two business days of the employee's return to work that the leave was for an FMLA reason.

Maintenance of Health Benefits

During FMLA leave an employee is entitled to continued group health plan coverage under the same conditions as if the employee had continued to work.

To the extent that an employee's FMLA leave is paid, the employee's portion of health insurance premiums will be deducted from the employee's salary. For the portion of FMLA leave that is unpaid, the employee's portion of health insurance premiums may be paid at the same time as if made by payroll deduction.

If the employee's payment of health insurance premiums is more than 30 days late, HCF may discontinue health insurance coverage upon notice to the employee.

Return from FMLA Leave

Upon return from FMLA leave, HCF will place the employee in the same position the employee held before the leave or an equivalent position with equivalent pay, benefits and other employment terms.

Limitations on Reinstatement

An employee is entitled to reinstatement only if he/she would have continued to be employed had FMLA leave not been taken. Thus, an employee is not entitled to reinstatement if, because of a layoff, reduction in force or other reason, the employee would not be employed at the time job restoration is sought. These limitations specifically include, but are not limited to, enforcement of the Company's policies on acceptance of outside employment.

HCF reserves the right to deny reinstatement to salaried, eligible employees who are among the highest paid 10 percent of HCF's employees employed within 75 miles of the worksite ("key employees") if such denial is necessary to prevent substantial and grievous economic injury to HCF's operations.

Failure to Return To Work Following FMLA Leave

If the employee does not return to work following the conclusion of FMLA leave, the employee will be considered to have voluntarily resigned. HCF may recover health insurance premiums that HCF paid on behalf of the employee during any unpaid FMLA leave except that HCF's share of such premiums may not be recovered if the employee fails to return to work because of the employee's or a family member's serious health condition or because of other circumstances beyond the employee's control. In such cases, HCF may require the employee to provide medical certification of the employee's or the family member's serious health condition.

Additional Information

For further information or clarification about FMLA leave, please see your local plant manager or contact HCF's Human Resources Coordinator.

Jury Duty and Witness Service

HCF encourages employees to meet their civic obligations by serving as a juror. If called to serve on a jury or as a witness, you are expected to return to work on any day you are dismissed early from service. Upon receipt of the notice to serve jury duty, you should immediately contact your supervisor. Additionally, a copy of the notice to serve jury duty should be submitted to your supervisor for attendance purposes. Upon your return, you must submit a signed Certificate of Jury Service or similar document indicating the number of days served to your supervisor.

If the jury duty falls at a time when you cannot be away from work, the Company may request that the court allow you to choose a more convenient time to serve if a request is made in accordance with the court's procedures. You must cooperate with this request.

Employees serving as juror or who have called as a witness will not be compensated for time away from work as result of their service unless otherwise required by State law.

Military Leave

An employee who is a member of the United States Army, Navy, Air Force, Marines, Coast Guard, National Guard, Reserves or Public Health Service will be granted an unpaid leave of absence for military service, training or related obligations in accordance with applicable law. Employees on military leave may substitute their available paid vacation time for unpaid leave. At the conclusion of the leave, upon the satisfaction of certain conditions, an employee generally has a right to return to the same position he or she held prior to the leave or to a position with like status and pay that the employee is qualified to perform.

Continuation of Health Benefits

During a military leave of less than 31 days, an employee is entitled to continued group health plan coverage under the same conditions as if the employee had continued to work. For military leaves of more than 30 days, an employee may elect to continue his/her health coverage for up to 18 months of uniformed service through COBRA.

Leave for Active or Reserve Duty

Upon receipt of orders for active or reserve duty, an employee should notify his/her supervisor and the HCF's Human Resources Coordinator as soon as possible, and provide a copy of the military orders (unless he/she is unable to do so because of military necessity or it is otherwise impossible or unreasonable).

Leave for Training and Other Related Obligations (e.g., fitness for service examinations)

Employees will also be granted time off for military training and other related obligations, such as for an examination to determine fitness to perform service. Employees should advise their supervisor of their training schedule and/or other related obligations as far in advance as possible.

Return from Military Leave

Notice Required

Upon return from military service, an employee must provide notice of or submit an application for reemployment in accordance with the following schedule:

An employee who served for less than 31 days or who reported for a fitness to serve examination, must provide notice of reemployment at the beginning of the first full regular scheduled work period that starts at least eight hours after the employee has returned from the location of service.

An employee who served for more than 30 days, but less than 181 days, must submit an application for reemployment no later than 14 days after completing his/her period of service, or, if this deadline is impossible or unreasonable through no fault of the employee, then on the next calendar day when submission becomes possible.

An employee who served for more than 180 days must submit an application for reemployment no later than 90 days after the completion of the uniformed service.

An employee who has been hospitalized or is recovering from an injury or illness incurred or aggravated while serving must report to the home office (if the service was less than 31 days), or submit an application for reemployment (if the service was greater than 30 days), at the end of the necessary recovery period (but which may not exceed two years).

Required Documentation

An employee whose military service was for more than 30 days must provide documentation with their application for reemployment (unless such documentation does not yet exist or is not readily available) showing the following: (i) the application for reemployment is timely (i.e. submitted within the required time period); (ii) the period of service has not exceeded five years; and (iii) the employee received an honorable or general discharge.

Hours of Operation

The normal company workday starts promptly at 8 A.M. and ends at 5 P.M. Our workweek goes from Monday to Friday. Nonexempt employees who work from 8 A.M. to 5 P.M. are given one hour for a lunch break each day.

Exceptions to the standard working hours are as follows:

1. The manufacturing staff works on a three-shift day. The morning shift works 7 A.M. until 3:30 P.M. with a thirty-minute lunch break. The afternoon shift works 3:00 P.M. until 11:30 P.M. with thirty-minute break. The night shift works from 11:00 P.M. until 7:30 A.M. with a thirty minute meal break.
2. The shipping department employees work eight hours each day. Shifts vary depending on the workload. The employee will work the hours designated by his or her supervisor.
3. Part-time employees shall work as needed and his or her supervisor shall be responsible to notify the part-time employee of his or her hours. These hours may change depending on the needs of HCF.

All employees must clock in for themselves at the beginning of the shift. Employees will clock out and clock in when leaving for lunch breaks and at the end of the shift. Any employee that needs to leave during the workday will clock out and then clock in on his or her return. No employee is allowed to clock in or clock out the time card of any other employee; and further, anyone who engages in this offense will be subject to immediate discipline up to and including discharge. No employee may actually work during his or her lunch hour, but rather, must clock out at the beginning of the lunch hour, unless otherwise instructed by the supervisor.

Pay Practices

It is the policy of HCF that all employees and job applicants have an equal opportunity for advancement in any available job on the basis of the candidates' qualifications for the job without regard to race, color, religion, sex, age, national origin, disability, veteran status, or any other protected characteristic as established by law. Qualified employees are encouraged to identify and pursue professional development opportunities which may exist within the Company from time to time. As a member of HCF's team, your pay is influenced, in part, by your specific duties and responsibilities and the skills and abilities that are required to successfully perform your job.

An individual's pay will depend on a person's work performance in relation to his or her current job requirements. When considering a salary and wage adjustments, your supervisor will evaluate your record of accomplishments in relation to your job responsibilities as well as other performance factors related to getting the job done.

Pay Day

All employees will be paid every two weeks. Pay discrepancies must be reported to your supervisor, management or Human Resources immediately.

All employees must provide account information for direct deposit of their pay.

HCF makes every effort to get payroll completed on time each week. On rare occasions, however, we do have computer breakdown and/or processing delays.

Overtime Compensation

Nonexempt salaried employees will be paid at the rate of one and one-half times their regular hourly rate of pay for all time worked in excess of 40 hours in any one workweek. Any hours worked on Saturdays, Sundays or holidays will be included in overtime calculations, but will be paid at the regular hourly rate of pay if total hours worked in the workweek is less than 40 hours. Vacation time, holidays, and other paid time off during any given workweek are not included in overtime calculations.

Overtime is never at the employee's discretion. It shall only be incurred and paid at the request of the company through the employee's supervisor/manager.

Supervisors/Managers shall ensure that no unauthorized overtime hours are worked. If a nonexempt employee receives shift premium, his or her regular rate of pay includes that premium.

Salaried Exempt employees hire in with the agreement and understanding that no overtime is paid. However, exempt salaried employees shall recognize the necessity for overtime to complete their assigned duties.

Shift Premium

Employees working the afternoon shift (3:00 P.M. to 11:30 P.M.) or the night shift (11:00 P.M. to 7:30 A.M.) are paid a premium above their base rate for all hours worked. This premium pay will be included in pay received for any paid leave including vacation and holidays.

Errors in Pay

Every effort is made to accurately process your paycheck. If you believe an error has been made, tell your supervisor immediately. He or she will take the necessary steps to research the problem and to assure that any necessary correction is made properly and promptly.

In the event HCF discovers you have been overpaid or finds an error in your paycheck, the Company will correct the error as soon as practicable, but no later than the next payroll processing cycle.

Personnel Records

HCF maintains personnel records for each employee. All employees are required to immediately advise the HCF's HR Coordinator, in writing, of any change in:

- Home address;
- Telephone number;
- Name and tax withholding exemption information;
- Immigration status; and
- Person to contact in case of emergency.

In addition, you are required to advise the company's HR Coordinator of the following events, which may have impact on medical coverage for your spouse or dependents:

- Divorce or legal separation of a covered employee from the employee's spouse, or
- Facts which would affect the coverage of a dependent under the terms of the medical plan. For example, a child reaching the maximum age for coverage or a child over 18 ceasing to be a full-time student.

Your files are maintained in a confidential manner during and after your employment with HCF, except as required by law or used for business purposes. Our practices concerning the collection and retention of information in your file are based upon the need to maintain accurate business records and to comply with government regulations.

If you are interested you may request to review your personnel records. Upon request, employees will be given access and copies of OSHA logs, medical and exposure records and pre-employment exams and reports related to occupational injuries. If you separate from HCF, you will not be granted access to our records without the necessary legal authorization.

Employee Attendance and Punctuality

Dependability and promptness are essential for a smooth running operation and are factors that are considered during an employee's introductory period and throughout employment, including performance evaluations. If, for any reason, you are unable to be at work at the assigned work time you must notify your supervisor as early as possible but no later than 30 minutes before your scheduled start time. When calling in, inform your supervisor of the time you will be in and the reason for your tardiness.

If you find that you must miss work due to illness or an unforeseen personal matter, you are required to notify your supervisor as early as possible (preferably no later than 30 minutes before your scheduled working time on that day) and any subsequent days that you are unexpectedly absent, and the reason for such absence. If you are unable to notify your supervisor, you are responsible for arranging for someone else to notify your supervisor as outlined above and personally calling your supervisor or the office within 30 minutes after your scheduled start time. Should you become ill while at work, you must notify your supervisor before leaving.

The Company reserves the right to require verification of the reason(s) for absence and tardiness. All employees who are absent from work for three or more days due to illness must provide a doctor's note upon their return to work.

For the purpose of this policy, an absence is defined as failure of any employee to report on the job and/or stay on the job for the entire shift when scheduled. Tardiness is defined as the failure of an employee to report on the job at the scheduled start of the assigned shift. Every employee should be aware that consistent absenteeism, lateness or leaving early may lead to disciplinary action, including possible dismissal.

An employee who is absent from work for three consecutive days without a written doctor's medical excuse and or leaves the workplace during their scheduled shift without first notifying their supervisor, will be deemed to have voluntarily resigned their employment.

Performance Planning and Reviews

To perform satisfactorily you need to understand what is expected of you. Performance planning establishes clearly defined performance standards through the use of written performance objectives, ongoing coaching and feedback on how you are doing, and a formal review of your results.

The goal of performance planning is to identify and agree on specific performance objectives and standards that are linked to initiatives which help you fulfill the key accountabilities of your position. Not only does the performance planning process allow your manager to communicate expectations—it allows your manager to develop a partnership with you in achieving those expectations.

Formal performance reviews are generally conducted at the end of an employee's first six months of employment and annually thereafter. Performance reviews are given to aid employees in their growth and development by objectively evaluating strengths and opportunities for growth on the job. Performance reviews may also be used in connection with proposed salary adjustments, promotions, and other personnel actions; however, their primary purpose is for performance planning.

HCF is committed to investing in your professional development. Your success with our company requires a commitment on your part as well. This involves taking an active role in your professional development and personal responsibility for your actions and decisions. By working together to achieve a common set of goals, both you and the company can reach its full potential.

Tobacco Policy

In order to protect and promote the health and safety of all employees, the use of any tobacco product is prohibited within all Company facilities. Tobacco use is permitted in designated outside areas. Consideration between users and non-tobacco users is expected. For our employees who smoke, you are requested to carefully extinguish and dispose of all smoking materials in a satisfactory manner.

Company Equipment and Supplies

HCF provides many supplies, equipment, and materials necessary for you to perform your job. These items are to be used solely for the Company's purposes. Employees are expected to exercise care in the use of company equipment and property and use such property only for authorized purposes. Loss, damages or theft of company property should be reported at once. Negligence in the care and use of company property may be considered grounds for discipline, up to and including termination.

The Company's equipment, such as telephones, wireless phones, postage, facsimile and copier machine, is intended to be used for business purposes. In addition, HCF stationery should not be used for personal correspondence since any communication sent out on such stationery might be misconstrued as being a company communication.

It is recognized that, as a practical matter, there may be compelling reasons for personal phone calls to be made or received during business hours. Such calls should be held to a minimum and are not to interfere with the employee's work. Personal long-distance calls should be charged to the employee's own telephone number by placing the call on a collect basis or through use of a personal calling card.

Upon termination of employment, the employee must return all company property, equipment, work product and documents in his or her possession or control.

Wireless Phone Use

The use of employee owned or company issued wireless phones for personal reasons should be limited to breaks and personal emergencies during the workday. If you are issued a company phone and your monthly airtime exceeds our calling plan due to excessive personal use, a payroll deduction will be made for all charges that were incurred from your personal use of the phone.

While a wireless phone can increase personal productivity, it also creates potential concern for the user's safety. Under no circumstances should an employee use a wireless phone while performing safety sensitive functions. The following guidelines should be followed when using a wireless phone while driving a vehicle:

1. Get to know your wireless phone and its features, such as speed dial and redial.
2. When available, use a hands-free device as well as one-button, memory or voice-activated dialing.
3. Position your wireless phone within easy reach.
4. Let the person to whom you are speaking know that you are driving; if necessary, suspend the call in heavy traffic or hazardous weather conditions.
5. Do not take notes or look up phone numbers while driving; pull off the road first.
6. Dial sensibly and assess the traffic; if possible, place calls when you are not moving or before pulling into traffic or ask a passenger to dial for you. Don't answer calls if road or traffic conditions are hazardous.
7. Do not engage in stressful or emotional conversations that may divert your attention from the road.
8. Dial 911 or a local emergency number to report serious emergencies—it's free from your wireless phone.
9. Use your wireless phone to help others in emergencies.
10. Call roadside assistance or a special non-emergency wireless number when necessary.

Sources: Cellular Telecommunications Industry Association, American Automobile Association Mid-Atlantic/Potomac division

Where employees are traveling in municipalities that prohibit or otherwise regulate the use of a wireless phone while operating a vehicle, it is the employee's responsibility to comply with such codes, ordinances and regulations.

Employees are responsible for properly caring for company-issued phones and should be aware that they may be liable for damage and replacement costs resulting from negligence.

Confidentiality

The protection of HCF business information, property and all other Company assets are vital to the interests and success of HCF. All HCF records and information relating to HCF or its customers are confidential and employees must, therefore, treat all such matters accordingly.

The Company takes precautions to maintain the confidentiality of this information, and it is deemed proprietary in nature. No HCF or HCF-related information, including without limitation, documents, notes, files, records, oral information, computer files or similar materials (except in the ordinary course of performing duties on behalf of HCF) may be removed from HCF's premises without permission from your supervisor.

Additionally, employees must not disclose any records or information, purposefully or inadvertently (through casual conversation), to any unauthorized person inside or outside the Company, except where required for a business purpose. Employees who are unsure about the confidential nature of specific information must ask their supervisor for clarification.

Employees will be subject to appropriate disciplinary action, up to and including dismissal, for knowingly or unknowingly revealing information of a confidential nature. HCF will vigorously enforce its rights under state and federal proprietary information and trade secret laws.

When an employee leaves HCF, the employee must return to the Company all HCF related information and property that the employee has in his/her possession, including without limitation, documents, files, records, manuals, information stored on a personal computer or on a computer disc, supplies, and equipment or office supplies.

Conflicts of Interest and Outside Employment

General Policy

HCF expects our employees to conduct business according to the highest ethical standards of conduct. Employees are expected to devote their best efforts to the interests of the Company. Business dealings that appear to create a conflict between the interests of the Company and an employee are unacceptable.

The Company recognizes the right of employees to engage in activities outside of their employment which are of a private nature and unrelated to our business. However, the employee must disclose any possible conflicts so that the Company may assess and prevent potential conflicts of interest from arising. A potential or actual conflict of interest occurs whenever an employee is in a position to influence a decision that may result in a personal gain for the employee or an immediate family member (i.e., spouse or significant other, children, parents, siblings) as a result of the Company's business dealings.

Although it is not possible to specify every action that might create a conflict of interest, this policy sets forth the ones which most frequently present problems. If an employee has any question whether an action or proposed course of conduct would create a conflict of interest, he or she should immediately contact their supervisor or the Company's Controller, Vice President of Operations or President to obtain advice on the issue. The purpose of this policy is to protect employees from any conflict of interest that might arise.

A violation of this policy will result in immediate and appropriate discipline, up to and including immediate termination.

Outside Employment

Employees are hired and continue in HCF's employ with the understanding that HCF is their primary employer and that other employment or commercial involvement which is in conflict with the business interests of HCF is strictly prohibited. From time to time, company employees may be required to work beyond their normally scheduled hours. Employees must perform this work when requested. In cases of conflict with any outside activity, the employee's obligations to the Company must be given priority.

In general, outside work activities are not allowed when they:

- Prevent the employee from fully performing work for which he or she is employed at the Company, including overtime assignments;
- Involve competitors or organizations that are doing or seek to do business with the Company, including actual or potential vendors or customers; or
- Violate provisions of law or the Company's policies or rules.

Employees who are on leave, including Family Medical Leave, are required to adhere to the standards for outside employment and/or business interests as set forth herein. Employees must immediately inform the Company concerning any proposed employment which is contemplated to occur while on leave. Employees are not permitted to engage in unauthorized work while on leave, and must secure permission from the Company prior to accepting or beginning any such employment.

Financial Interest in Other Business

An employee must fully disclose to the Company's Controller any personal ownership or significant interest or the ownership or significant interest of an immediate family member in a supplier, customer or competitor of the Company, except where such ownership or interest consists of securities in a publicly owned company and that securities are regularly traded on the open market.

Acceptance of Gifts

No employee may solicit gifts of any value, lavish entertainment or other benefits from potential and actual customers, suppliers or competitors. Special care must be taken to avoid even the impression of a conflict of interest. If gifts are offered, you must fully disclose the offer to your supervisor.

An employee may entertain potential or actual customers if such entertainment is consistent with accepted business practices, does not violate any law or generally accepted ethical standards and the public disclosure of facts will not embarrass the Company. Any questions regarding this policy should be addressed to HCF's Controller, Vice President of Operations or President

Work Product Ownership

All business ideas, concepts, inventions, improvements and developments made or conceived by HCF employees, either solely or in collaboration with others, during the term of an employee's employment with HCF and relating to the business of the HCF or to any business or product HCF is considering entering or developing, shall become and remain the exclusive property of the HCF, its successors and assigns. Employees are required to promptly disclose in writing to HCF all such ideas, concepts, inventions, improvements and developments, and are required to cooperate fully in confirming, protecting and obtaining legal protection of HCF ownership rights.

Although it is acceptable for an employee to display and/or discuss a portion or the whole of certain work product as an example in certain situations (e.g., on a resume or in a business meeting), one must bear in mind that information classified as confidential must remain so even after the end of employment, and that supplying certain other entities with certain types of information may constitute a conflict of interest. In any event, it must always be made clear that work product is the sole and exclusive property of HCF.

Obtaining Competitive Information

HCF employees may not directly, or through others, seek or accept information from any competitor or from any customer or potential customer that is illegal for the Company to obtain. Any third party used by the Company as a consultant or advisor to assist the Company in marketing products or services shall be selected only after appropriate management review and approval. Further, such parties shall be required to observe all applicable laws and regulations with regard to work performed on behalf of the Company.

Reporting Potential Conflicts

An employee must promptly disclose actual or potential conflicts of interest, in writing, to the Company's Controller, Vice President of Operations or President. Approval will not be given unless the relationship will not interfere with the employee's duties or will not damage the Company's relationship.

Computer System

It is the policy of HCF that the use of its computers and software is limited solely to appropriate business use. Employees are not allowed to use the computer system for their personal benefit. Employees are strictly forbidden from installing or downloading unauthorized software on the system.

Further, this policy reaffirms that the Company's employees have no reasonable expectation of privacy with respect to any computer hardware, software, electronic mail or other computer or electronic means of communication or storage, whether or not

employees have private access or an entry code into the computer system. The Company reserves the right to monitor the use of its computer system.

Where portable, laptop or notebook, computers or other mobile computing devices are provided by the Company to facilitate the employee's productivity, such devices must not be used outside the scope of employment for personal use of any kind. Connection to or attempting to connect to any unauthorized wired or wireless network is strictly prohibited. The Company's computer systems are monitored to determine usage.

Electronic Communications Policy

Employees who have access to Voice Mail and electronic mail (E-mail) are responsible for using these systems properly and in accordance with this policy. Any questions about this policy should be addressed to the Controller.

The Voice Mail system and E-mail network are private information systems and are the property of HCF. They have been provided by HCF for use in conducting Company business. All communications and information transmitted by, received from, or stored in these systems are Company records and property of HCF. The Voice Mail and E-mail systems are to be used for Company purposes only. Use of the Voice Mail and E-mail systems for personal purposes is prohibited.

No expectation of privacy. Employees have no right of personal privacy in any matter stored in, created, received, or sent over the HCF Voice Mail and E-mail systems. HCF, in its discretion as owner of the Voice Mail and E-mail systems, reserves and may exercise the right to monitor, access, retrieve, and delete any matter stored in, created, received, or sent over these systems, for any reason without the permission of any employee and without notice. Individuals using these systems expressly consent to monitoring of their activities.

Even if employees use a password to access the Voice Mail and E-mail systems, the confidentiality of any message stored in, created, received, or sent from the HCF Voice Mail or E-Mail systems still cannot be assured nor expected. Use of passwords or other security measures does not in any way diminish HCF's rights to access materials on its systems, or create any privacy rights of employees in the messages and files on the systems. Any password used by employees must be revealed to HCF as Voice Mail and E-mail messages may need to be accessed by the Company in an employee's absence.

Maintaining confidentiality. Even though HCF reserves the right to retrieve and read any Voice Mail and E-mail messages, those messages should still be treated as confidential by and as to other employees and accessed only by the intended recipient. Employees are not authorized to retrieve, listen to or read any Voice Mail and E-mail messages that are not sent to them. Any exception to this policy must receive the prior approval of HCF management.

Professional and courteous use. Employees are reminded to be courteous to other users

of the Voice Mail and E-mail systems and always to conduct themselves in a professional manner. Voice Mails and/or E-mails are sometimes misdirected or forwarded and may be heard or read by persons other than the intended recipient.

Users should create Voice Mail and E-mail communications with no less care, judgment and responsibility than they would use for letters or internal memoranda written on HCF letterhead. Employees should also use professional and courteous greetings on their Voice Mail boxes so as to properly represent HCF to outside callers. In order to avoid accidentally disclosing message contents to unauthorized listeners, employees should not listen to Voice Mail messages while using the speaker phone feature.

Because Voice Mail records and messages may be subject to discovery in litigation, HCF employees are expected to avoid making statements in Voice Mail that would not reflect favorably on the employee or HCF if disclosed in a litigation or otherwise.

Prohibited activities. HCF policies against sexual or other harassment apply fully to the Voice Mail and E-mail systems, and any violation of those policies is grounds for discipline up to and including discharge. Therefore, no Voice Mail or E-Mail messages should be created, sent, or received if they contain intimidating, hostile, or offensive material concerning race, color, religion, sex, age, national origin, disability or any other classification protected by law.

The Voice Mail and E-mail systems may not be used to solicit for religious or political causes, commercial enterprises, outside organizations, or other non-job related solicitations which are not approved by HCF.

The E-mail system shall not be used to send (upload) or receive (download) copyrighted materials, trade secrets, proprietary financial information, or similar materials without prior authorization from HCF's management. Employees, if uncertain about whether certain information is copyrighted, proprietary, or otherwise inappropriate for transfer, should resolve all doubts in favor of not transferring the information and consult with HCF's home office.

Any employee who discovers misuse of the Voice Mail or E-mail systems should immediately contact HCF's Controller.

System maintenance. Users should routinely delete outdated or otherwise unnecessary Voice Mails and E-mails. These deletions will help keep the respective systems running smoothly and effectively, as well as minimize maintenance costs. Employees should be aware that deletion of any E-mail messages or files will not truly eliminate the messages from the system. All E-mail messages are stored on a central back-up system in the normal course of data management.

Because of the storage space required for Voice Mail and E-mail messages, employees should not send a Voice Mail or E-mail message to a large number of recipients without

prior approval from their supervisor. Broadcast or mass e-mailing is strictly prohibited unless such mailings are business related.

Violations of HCF's Electronic Communications policy may result in disciplinary action up to and including discharge.

Internet Use Policy

The Internet can be a valuable source of information and research. As we all know, however, the use of the Internet must be used with common sense and good judgment. The same holds true when using e-mail to communicate with other employees, our customers and clients, outside vendors, and other businesses

This policy and the Electronic Communications policy govern your use of the Internet.

Disclaimer of liability for use of Internet. HCF is not responsible for material viewed or downloaded by users from the Internet. The Internet is a worldwide network of computers that contains millions of pages of information. Users are cautioned that many of these pages include offensive, sexually explicit, and inappropriate material. In general, the nature of the internet technology makes it difficult to avoid at least some contact with this material while using the Internet. Even innocuous search requests may lead to sites with highly offensive content. In addition, having an e-mail address on the Internet may lead to receipt of unsolicited e-mail containing offensive content. Users accessing the Internet do so at their own risk.

Duty not to waste computer resources. Employees must not deliberately perform acts that waste computer resources or unfairly monopolize resources, including bandwidth, to the exclusion of others. These acts include, but are not limited to, sending mass mailings or chain letters, spending excessive amounts of time on the Internet, playing games, engaging in online chat groups, printing multiple copies of documents, instant messaging or otherwise creating unnecessary network traffic. Because audio, video and picture files require significant storage space, files of this or any other sort may not be downloaded unless they are business-related.

No expectation of privacy. The computers and computer accounts given to employees are to assist them in performance of their jobs. Employees should not have an expectation of privacy in anything they create, store, send, or receive on the computer system. The computer system belongs to the Company and may only be used for business purposes.

Monitoring computer usage. The Company has the right, but not the duty, to monitor any and all of the aspects of its computer system, including, but not limited to, monitoring sites visited by employees on the Internet, monitoring chat groups and news groups, reviewing material downloaded or uploaded by users to the Internet, and reviewing e-mail sent and received by users.

Blocking of inappropriate content. The Company may use software to identify inappropriate or sexually explicit Internet sites. Such sites may be blocked from access by Company networks. In the event you nonetheless encounter inappropriate or sexually explicit material while browsing on the Internet, immediately disconnect from the site, regardless of whether the site was subject to company blocking software.

Prohibited activities. Material that is fraudulent, harassing, embarrassing, sexually explicit, profane, obscene, intimidating, defamatory, or otherwise unlawful, inappropriate, offensive (including offensive material concerning sex, race, color, national origin, religion, age, disability, or other characteristic protected by law), or violates HCF's equal employment opportunity policy and its policies against sexual or other harassment, may not be downloaded from the Internet or displayed or stored in HCF's computers.

Employees encountering or receiving this kind of material should immediately report the incident to their supervisor, the Company's Controller, Vice President of Operations or President. HCF equal employment opportunity policy and its policies against sexual or other harassment apply fully to the use of the Internet and any violation of those policies is grounds for discipline up to and including discharge.

Games and entertainment software. Employees may not use the Company's Internet connection to download games or other entertainment software, or to play games over the Internet.

Illegal copying. Employees may not illegally copy material protected under copyright law or make that material available to others for copying. You are responsible for complying with copyright law and applicable licenses that may apply to software, files, graphics, documents, messages, and other material you wish to download or copy. You may not agree to a license or download any material for which a registration fee is charged without first obtaining the express written permission of HCF's management.

Accessing the Internet. To ensure security and to avoid the spread of viruses, employees accessing the Internet through a computer attached to HCF's network must do so through an approved Internet firewall. Accessing the Internet directly by modem is strictly prohibited unless the computer you are using is not connected to the Company's network.

Virus detection. Files obtained from sources outside the Company, including disks brought from home; files downloaded from the Internet, news groups, bulletin boards, or other online services; files attached to e-mail; and files provided by customers or vendors may contain dangerous computer viruses that may damage the Company's computer network. Employees should never download files from the Internet, accept e-mail attachments from outsiders, or use disks from non-company sources, without first scanning the material with company-approved virus checking software. If you suspect that a virus has been introduced into the Company's network, notify the Controller immediately.

Sending unsolicited e-mail (spamming). Without the express permission of their supervisors, employees may not send unsolicited e-mail to persons with whom they do not have a prior relationship.

Violations of this policy will be taken seriously and may result in disciplinary action, including possible termination, and civil and criminal liability.

Use of the Internet via HCF's computer system constitutes consent by the user to all of the terms and conditions of this policy.

Rules of Conduct

The Company requires order and discipline to succeed and to promote efficiency, productivity and cooperation among its employees. The orderly and efficient operations of HCF require that employees maintain proper standards of conduct at all times.

Employees who fail to maintain proper standards of conduct toward their work, their co-workers or the Company's customers, or who violate any of the Company's policies, are subject to appropriate disciplinary action, up to and including discharge. All instances of misconduct or breaches of trust and Company values should be referred to your supervisor immediately.

Guidelines for Dismissal

Immediate Dismissals Resulting from Misconduct

Any employee whose conduct, actions or performance violates or conflicts with HCF's policies may be terminated immediately and without warning. The following are some examples of grounds that may lead to the immediate dismissal of an employee:

- Distrustful or dishonest behavior including a breach of Company values
- Altering or falsifying Company records
- Gross negligence
- Insubordination and deliberate non-performance of work
- Willful, severe and/or pervasive violations of established Company rules or policies
- Violence or serious breach of acceptable behavior
- Possession of dangerous weapons on the premises
- Larceny or unauthorized possession of, or the use of, property belonging to any co-worker, visitor, or customer of HCF
- Unauthorized possession, use or copying of any records that are the property of HCF
- Marring, defacing or other willful destruction of any supplies, equipment or property of HCF

This list is intended to be representative of the types of behaviors and activities that may result in immediate termination of employment. It is not exhaustive, and is not intended to be comprehensive and does not change the employment-at-will relationship between the employee and the Company.

In the event of dismissal for misconduct all benefits will be terminated on the last day of employment.

Discipline and Corrective Action Other Than Immediate Dismissal

All employees are expected to meet HCF's standards of work performance. Work performance encompasses many factors, including attendance, punctuality, personal conduct, job proficiency and general compliance with the Company's policies and procedures.

If an employee does not meet these standards, the Company may, under appropriate circumstances and within its sole discretion, take corrective action, other than immediate dismissal.

The intent of corrective action is to formally document problems while providing the employee with a reasonable time within which to improve performance. The process is designed to encourage development by providing employees with guidance in areas that need improvement such as poor work performance, attendance problems, personal conduct, general compliance with the Company's policies and procedures and/or other disciplinary problems.

Unacceptable behavior or work performance which does not lead to immediate dismissal may be dealt with in the following progressive manner:

1 st Offense:	Verbal Warning and a related note to the personnel file
2 nd Offense:	Written Warning or Letter of Reprimand
3 rd Offense:	Last Chance Agreement
4 th Offense:	Termination of employment

The above progression is used by the Company solely as a guideline in administering the discipline process. The Company, at its discretion, may elect to have one form of action precede another to include immediately terminating employment.

We want to emphasize that termination decisions will be based on an assessment of all relevant factors and at all time employees remain employed by HCF on an "at-will" basis.

Driver License & Driving Record

Employees whose work requires operation of a motor vehicle must maintain a valid driver's license and proof of insurance and provide the home office a copy of the same which will be maintained on file. Any changes in your driving record must be reported to the home office immediately. On an annual basis the Company will review the driving record of all employees who are required to operate a motor vehicle in the performance of their duties. Excessive citations or failure to maintain a driving record acceptable to the Company's insurance provider may result in discharge.

Internal Investigations and Searches

From time to time, HCF may conduct internal investigations pertaining to security and auditing of work-related matters. Employees are required to cooperate fully with and assist in these investigations if requested to do so. Whenever it is reasonable and necessary, the Company may use its discretion to search work areas (i.e., desks, file cabinets, etc.) and personal belongings (i.e., brief cases, handbags, etc.) without notice.

The Company will generally try to obtain an employee's consent before conducting a search of work areas or personal belongings, but may not always be able to do so. Because HCF is sensitive to the legitimate privacy rights of employees, every effort will be made to provide for all internal investigations and searches to be done in an ethical and respectful manner. However, in all cases, the full cooperation of employees is required.

Solicitation

In order to protect employees from annoyance, harassment, and interference with their work and to maintain a work place free of litter, HCF has adopted the following concerning solicitation and distribution of literature:

1. No outsiders shall be allowed to solicit or distribute materials on HCF premises or the premises of the Company's customers.
2. Employees shall not engage in solicitation of any kind in public areas, or in working areas during working time.
3. Employees shall not distribute literature in public areas or working areas at any time.
4. Employees shall not distribute literature in non-working areas or non-public areas during working time.
5. As used in these rules, the term "working time" means any period of time that an employee is being compensated for by the Company.

Employees are permitted to post order forms for fund raising activities related to schools, charitable, and community organizations which are approved or supported by HCF management as well as Company-sponsored programs related to HCF products and services.

Prior approval must be given by HCF management prior to the posting of any materials.

Resignation

When an employee decides to voluntarily leave for any reason, his or her manager may like the opportunity to discuss the resignation before final action is taken. We often find during this conversation that another alternative may be better. Our home office may schedule an exit interview with a terminating employee prior to the last day of employment and for arranging the return of all company property.

Final Paycheck

Employees leaving the Company will be issued their final paycheck on the next regularly scheduled payday after their last day of employment. If there are unpaid obligations to the Company or unreturned equipment, the final paycheck will reflect the appropriate deductions in accordance with applicable Wage & Hour laws.

Reference Checks

It is the policy of HCF not to disclose any information about current or former employees unless and until the Company has received a valid consent /release form that is acceptable to HCF and signed by the employee for whom the reference is requested.

All inquiries whether written or oral regarding a current or former HCF employee must be referred to the home office. Should an employee receive a written request for a reference, he or she should immediately refer the request to the home office for handling. No HCF employee may provide a reference letter to any current or former employee without the permission and approval of the home office.

Only job-related information will be provided to persons requesting information on current or former employees. Under no circumstances will information be provided regarding an individual's race, color, national origin, religion, sex, age, disability, any other characteristic protected by law, workers' compensation history, complaints about alleged discrimination, political views or private affairs.

Your Personal Safety

The personal safety and health of each employee of HCF is of primary importance as is the Company's commitment to the protection of the environment and the conservation of natural resources. To the greatest degree possible, management will provide the resources required for personal safety and health and compliance with applicable environmental laws and regulations. We will closely monitor its service, manufacturing, storage, treatment and disposition processes to diminish any impact to the environment and the health and safety of our communities that the Company's operations may cause.

We will maintain an environmental, safety and health program conforming to the safe work practices of our industry. To be successful, such a program must embody the proper attitudes toward injury and illness prevention on the part of both supervisors and employees. It also requires cooperation in all safety and health matters, not only between supervisor and employee, but also between each employee and his or her fellow workers. Only through such a cooperative effort can a safety program in the best interest of all be established and preserved.

Our objective is a safety and health program that will reduce the number of injuries and illnesses to an absolute minimum, not merely in keeping with, but surpassing, the best experience of other operations similar to ours.

We recognize that the responsibilities for safety and health are shared:

As your employer, HCF accepts the responsibility for leadership of the safety and health program, for its effectiveness and improvement, and for providing the safeguards required to ensure safe conditions.

Supervisors are responsible for developing the proper attitudes toward safety and health in themselves and in those they supervise, and for ensuring that all operations are performed with utmost regard for the safety and health of all personnel involved, including themselves.

Employees are responsible for wholehearted, genuine cooperation with all aspects of the safety and health program-including compliance with all rules and regulations and for continuously practicing safety while performing their duties.

The prevention of employee injuries is of the utmost importance and a key ingredient to the continued success and growth of our Company. We urge each of you to join with us in committing to make HCF the safest possible place to work.

Workers' Compensation Benefits

As an employee of HCF you are covered by state workers' compensation insurance which is paid for by the Company. Worker's compensation coverage is designed to provide you with benefits for an injury arising out of the scope of your employment. If you are injured while at work, you are eligible to apply for workers' compensation benefits.

All work related injuries including incidents where no medical treatment is required or time off is needed, must be reported by the employee to his or her supervisor immediately following the incident.

If you are injured on the job, you will be required to complete an Injury/Accident/Incident Report immediately following the incident or as soon as practicable. All injuries that require medical treatment will be fully investigated by a company representative.

In cases of ongoing medical treatment, it is the employee's responsibility to keep his or her supervisor updated with all subsequent medical appointments.

Any employee who is unable to return to his or her regular position may be assigned to alternative or transitional work within prescribed medical restrictions based on availability of such work and the physical capabilities of the injured employee.

Violence in the Workplace

HCF strongly believes that all employees should be treated with dignity and respect. We are committed to providing a safe workplace for all employees and will actively intervene at any indication of a possibly hostile or violent situation.

To promote a safe workplace and to reduce the risk of violence, all employees should review and understand all provisions of this workplace violence policy.

Prohibited Conduct

We do not tolerate any type of workplace violence committed by or against employees. Employees are prohibited from making threats or engaging in violent activities.

This list of behaviors, while not inclusive, provides examples of conduct that is prohibited.

- Causing physical injury to another person;
- Making threatening remarks;
- Aggressive or hostile behavior that creates a reasonable fear of injury to another person or subjects another individual to emotional distress;
- Intentionally damaging employer property or property of another employee;

- Committing acts motivated by, or related to, sexual harassment or domestic violence;
- Possession of a weapon while on company property or while on company business.

For purposes of this policy, a weapon includes all firearms, illegal knives (as determined by State law) or other weapons, or dangerous ordinance. Pepper spray or chemical devices which are widely available and used for personal protection are not covered by this policy.

Company property includes all property of any kind whether leased, owned, or controlled by Company, which includes land, buildings, automobiles, equipment and parking areas.

Consistent with our Handbook, HCF reserves the right to conduct a reasonable search of any person, vehicle or thing that comes onto Company property. For further information on workplace searches, please refer to the *Internal Investigations and Searches* section of our Handbook.

The Company recognizes that there may be very unusual circumstances which may lead to a special or emergency request by an employee, who is otherwise licensed to carry a weapon, to bring a firearm onto company property. The Company is committed to providing a safe and secure workplace environment. Each such request shall be reviewed on a case by case basis and monitored to determine whether and to what extent a one-time limited exception to the prohibition, of specified duration, may be warranted. In no case shall any person bring a weapon onto Company property without having first secured permission to do so as an exception to policy. The Company reserves the right to obtain from the person making the request (and/or law enforcement officials who may have information supporting the request) such information as deemed necessary to the decision. If an exception is made, the person making the request agrees as part of the exception being granted, to not disclose that fact to any person other than Company's management.

Reporting and Investigation Procedures

Any potentially dangerous situations must be reported immediately to their supervisor, Plant Manager, the Company's Controller, Vice President of Operations or President. Reports can be made anonymously and all reported incidents of violence will be investigated promptly and thoroughly. The investigation may include individual interviews with the parties involved and, where necessary, with individuals who may have observed the alleged conduct or may have other relevant knowledge.

Confidentiality will be maintained throughout the investigatory process to the extent consistent with adequate investigation and appropriate corrective action.

Risk Reduction Measures

While we do not expect employees to be skilled at identifying potentially dangerous persons, employees are expected to exercise good judgment and to inform their supervisor, the Company's Controller, Vice President of Operations or President if any employee exhibits behavior which could be a sign of a potentially dangerous situation. Such behavior includes:

- Discussing weapons or bringing them to the workplace;
- Displaying overt signs of extreme stress, resentment, hostility, or anger;
- Making threatening remarks;
- Sudden or significant deterioration of performance;
- Displaying irrational or inappropriate behavior.

Dangerous/Emergency Situations

Employees who confront or encounter an armed or dangerous person should not attempt to challenge or disarm the individual. If a supervisor can be safely notified of the need for assistance without endangering the safety of the employee or others, such notice should be given. Otherwise, cooperate and give individuals what they want. No property is worth the safety of yourself, your co-workers, or others.

Enforcement

Threats, threatening conduct, or any other acts of aggression or violence in the workplace will not be tolerated. Any employee determined to have committed such acts will be subject to disciplinary action, up to and including termination. Non-employees engaged in violent acts on HCF's premises or job sites will be reported to the proper authorities and fully prosecuted.

Drug and Alcohol Testing

Purpose

Highland Computer Forms is committed to providing a safe work environment and to fostering the well being and health of its employees. That commitment is jeopardized when any HCF employee illegally uses drugs or alcohol on the job, comes to work with these substances present in his/her body, or possesses, distributes, or sells drugs in the workplace. Substance abuse is a significant public health problem which has a detrimental effect on the business community in terms of productivity, absenteeism, accidents, medical costs, theft, and workers' compensation costs.

The Company expects employees to report for work in a condition fit to do their duties. The Company recognizes that its employees' off the-job, as well as on-the-job, involvement with drugs can have a direct impact on the workplace and on our ability to accomplish our goal of a drug and alcohol free work environment.

The primary purpose of this policy is to promote the safety and well being of all employees. It would be inconsistent to promote a strong safety effort while allowing the use of drugs and alcohol to undermine the safe and effective performance of employees on the job. Therefore, HCF has established the following policy to assist us in meeting our obligations to our employees and customers.

Affected Employees

This policy applies to all full-time, part-time and temporary employees of HCF including the Company's entire management team. All employees share responsibility for maintaining a safe work environment and should report to management any concern about the misuse of alcohol or other drugs by employees.

Program Administrator

HCF's Human Resources Coordinator and Safety Director are the Company's Drug and Alcohol Program Administrators. As Program Administrator's they are responsible for:

- Ensuring that newly hired employees receive information about the Company's policy on substance abuse and alcohol misuse.
- Maintaining employee acknowledgments evidencing receipt of the Company's Drug-Free Workplace Program policy.
- Maintaining and providing employees with a list of community resources for assessment and treatment.
- Coordinating and scheduling training initiatives.
- Managing provider relationships including education and training services, drug and alcohol testing services, laboratories, collection sites and Medical Review Officers (MROs).

Policy Violations

It is a violation of company policy to use or be under the influence of alcohol and/or illegal drugs at anytime during the workday (including breaks, lunch, and travel to and from work sites), while on or using company property, conducting company business or otherwise representing the Company. The only exception to this policy's prohibitions pertains to business related entertainment approved by the Company at which alcohol is served. These exceptions are valid only to the extent that the alcohol is used in moderation and that the individual is not impaired or legally intoxicated.

It is a violation of company policy for anyone to use prescription drugs illegally. However, nothing in this policy precludes the appropriate use of legally prescribed medications. To this end, employees are responsible for promptly notifying his/her supervisor if the prescribed medication will affect the employee's ability to perform the essential functions of his/her job. An employee under the influence of a legally prescribed medication may continue to work if Management has determined in its sole discretion

that the employee does not pose a threat to his/her own safety, the safety of the public or the safety of co-workers, and the employee's job performance is not adversely affected by the medication. Otherwise, the employee may be required to take a leave of absence or comply with other appropriate action determined by Management. The employee may be required to provide information from his/her prescribing physician as to the prescribed drug, including but not limited to the effects of the drug.

It is a violation of company policy for any employee to possess, sell, trade, or offer for sale or trade, illegal drugs or otherwise engage in illegal drug-related activity. Violations of this policy that involve the "trafficking" of drugs may result in an employee being referred for criminal prosecution.

Employees who are identified as the focus of a criminal investigation into unauthorized possession, use, or trafficking of a controlled substance may be considered to be in violation of this policy. In deciding what action to take, management will take into consideration the nature of the charges, the employee's present job assignment, the employee's record with the Company and other factors relating to the impact and facts of the investigation and underlying circumstances. Employees are responsible for notifying the Company within five days of any alcohol or drug-related conviction.

Policy Violations Specific to Commercial Motor Vehicle Operators

It is a violation of company policy for Commercial Motor Vehicle Operators to use alcohol four hours before and while performing a safety-sensitive function. In addition, Commercial Motor Vehicle Operators are prohibited from using alcohol eight hours following an accident, or until he/she undergoes a post-accident alcohol test, whichever occurs first.

Commercial Motor Vehicle Operators who have an alcohol concentration of 0.02 or greater but less than 0.04 may not perform, nor be permitted to perform, safety-sensitive functions for at least 24 hours.

For the purpose of this policy, safety-sensitive function means all time from the time a Commercial Motor Vehicle Operator begins to work or is required to be in readiness to work until he/she is relieved from work and all responsibility for performing work. This includes all time spent waiting to be dispatched; inspecting equipment or otherwise inspecting, servicing, or conditioning any commercial motor vehicle; time spent at the controls of a commercial motor vehicle in operation; all time other than driving time, spent in or upon a commercial motor vehicle; loading or unloading a vehicle, supervising, or assisting in the loading or unloading, attending a vehicle being loaded or unloaded, and receiving receipts for shipments loaded or unloaded; and all time spent repairing, obtaining assistance, or remaining in attendance upon a disabled vehicle.

Important Notice to All Employees

In keeping with our primary interest of preventing accidents and injuries, HCF intends to hold employees accountable for violating our drug and alcohol policy and may seek disallowance of a workers' compensation claim when an employee tests positive for alcohol or a controlled substance (drug) after a work-related accident or injury.

Our company policy will be to refuse to certify a workers' compensation claim filed by an injured employee who tests positive for a controlled substance or an alcohol concentration of .08 BAC or higher, or who otherwise without legal basis refuses to submit to a test. Refusal to test also includes failure to provide a specimen within the time frame that an employee is permitted or given to do so, or adulterating, attempting to adulterate or substituting a specimen, or otherwise manipulating or attempting to manipulate the testing process.

Rather than having a claim disallowed, we hope to prevent these accidents from occurring in the first place by holding employees properly accountable for following work rules that exist in the interest of the safety of all employees. Employees who fail to follow work rules and thereby endanger themselves, their co-workers and/or our ability to operate our business will be held strictly accountable.

Workplace Searches

The Company reserves the right to conduct unannounced searches and inspections of employee's personal property for illegal drugs, legal drugs or alcohol on company property or while an employee is on company business in order to ensure compliance with this policy. An employee's submission to a search is required as a condition of employment and the employee's refusal to consent will result in disciplinary action, including termination, even for a first refusal.

Disciplinary Action

Violations of this policy are subject to disciplinary action up to and including termination of employment, even for a first offense. Violations of this policy which do not lead to immediate dismissal may be dealt with in the following manner:

Suspension without pay and evaluation by a substance-use professional as defined herein. Reinstatement will be contingent upon the objective recommendation of a substance-use professional, a negative return-to-work test and the employee signing a Last Chance Agreement.

Violations of this policy by Commercial Motor Vehicle Operators which do not lead to immediate dismissal will result in a driver's suspension without pay for up to 30 days. Before returning to duty, the driver must comply with the referral, evaluation, treatment, and testing provisions of §382.605 of the Federal Motor Carrier Safety Regulations.

The Company does not guarantee that one form of action will necessarily precede another. Additionally, nothing in this policy changes the employment-at-will relationship between the employee and the Company.

Supervisor/Management Responsibility & Training

Supervisors have a significant role in establishing and maintaining the Company's programs. To assist supervisors in developing the necessary skills to carry out their responsibilities in relationship to HCF's drug and alcohol program, the Company will conduct ongoing training. This training is not intended to train supervisors to be drug or alcohol abuse experts, counselors or to conduct medical evaluations. The training shall include the physical, behavioral, speech and performance indicators of probable alcohol misuse and use of controlled substances.

Employee Education

The Company will provide drug and alcohol awareness education to employees. This will include information on the Company's written policy and how the Drug-Free Workplace Program will operate, employee responsibilities, and the consequences for violating the policy. Employees will also be provided information on the magnitude and dangers of drug and alcohol abuse, signs and symptoms associated with substance abuse and alcohol misuse, and available intervention methods and community resources for assessment and treatment. In addition to the above, Commercial Motor Vehicle Operators will receive information and training as required by Part 382, Subpart F of the Federal Motor Carrier Safety Regulations.

Acknowledgment of Receipt of Written Policy

All employees will be required to sign a statement certifying that he or she received a copy of the written policy and has had the opportunity to ask questions. The Company will maintain the original receipt in the employee's training file.

Drug and Alcohol Testing

An employee's submission to drug and alcohol testing is required as a condition of employment. HCF reserves the right to test, at its discretion, any employee for drug and/or alcohol use. All tests will be in compliance with federal and state laws. Employees who refuse to submit to an alcohol or controlled substances test or engages in conduct that obstructs the testing process shall be subject to disciplinary action up to and including immediate dismissal, even for a first refusal.

HCF applies its Drug & Alcohol policy to all employees. Where testing occurs solely under Federal mandate in safety sensitive activities, HCF follows the Federal guidelines, including the use of the 5 panel test and chain of custody reporting requirements. Any urine specimen collected for this purpose will be used for the DOT/FMCSA testing only. Where testing is to be performed in addition to the DOT/FMCSA, a separate specimen

will be required. In this way HCF participates in all levels permitted under Ohio's Drug-Free Workplace Program at the State level, which permits testing in addition to that required under Federal regulations. DOT/FMSCA tests are separate from non DOT tests in all respects, DOT tests take priority and will be conducted prior to a non DOT test is begun, and a separate specimen is collected.

Employee specimens collected for purposes other than DOT/FMSCA will be analyzed by a certified laboratory for controlled substances including the following:

1. Cocaine (and its derivatives, including crack cocaine).
2. Cannabinoid (THC/marijuana, hash).
3. Opiates (heroin, codeine, etc).
4. Amphetamine (including Methamphetamine – central nervous system stimulants).
5. Phencyclidine (PCP).
6. Barbiturates
7. Benzodiazepines
8. Methadone
9. Propoxyphene

Cutoff levels established by the U.S. Department of Health and Human Services will be used to determine if a specimen is positive for controlled substances. Alcohol concentrations of .04 or greater will be used as the cutoff level for determining a positive alcohol test for disciplinary purposes. Employees who receive an alcohol test result of .02–.039 will temporarily be removed from performing safety sensitive functions.

Drug and/or alcohol tests will be conducted under the following circumstances:

Pre-employment Testing

All applicants who are conditionally offered a position of employment at HCF or who are returning to work from a layoff of more than 30 days will undergo testing for controlled substances as a condition of employment/reemployment.

Applicants will be asked to sign a Consent Form to undergo drug testing prior to any interview occurring. If an applicant refuses to sign the Consent Form, he/she will be considered disqualified, and the employment process will be terminated. Prospective CDL holder applicants are required to authorize a release of information about previous tests conducted under the ACT. This is a condition of employment. HCF will conduct pre-employment tests on CDL holders after a layoff period when the driver has not been subjected to random controlled substances testing for more than 30 days or has been employed by another entity.

It is preferred that a new employee or returning employee be tested prior to reporting for work. However, it is realized that under certain circumstances an employee may start before test results are known. In such circumstances the employee's hiring is conditional upon passing alcohol and controlled substances test. Under no circumstances, however,

will an employee be allowed to perform a safety-sensitive function without verification of a negative test result.

A person who adulterates, attempts to adulterate, or substitutes a specimen, or otherwise manipulates or attempts to manipulate the testing process, may be terminated or disqualified from the employment process. If an applicant's or returning employee's test is confirmed positive, the applicant or returning employee will not be considered for employment/reemployment and will be informed that he/she has failed to meet the minimum employment standards.

Post-Accident/Post Incident Testing

Any employee who is injured and requires outside medical treatment as a result of an unplanned, unexpected, or unintended event which occurs on company premises, all job sites, or time or who is determined to have caused or contributed to that event will be tested as soon as practicable following the event.

When it is determined that an employee has caused or contributed to an event that took place on company premises or time and posed a substantial risk of personal injury or property damage, the employee will be tested as soon as practicable following the event regardless if actual personal injury or property damaged occurred.

As soon as practicable following any occurrence involving a company vehicle or any occurrence involving a personal vehicle when operation of the same is compensable time, the Company shall test for alcohol and controlled substances for each surviving employee:

- Who was operating the vehicle if the accident involved the loss of human life; or
- If the accident involved bodily injury to any person who, as a result of the injury, immediately receives medical treatment away from HCF's premises; or
- If as a result of the accident, vehicle damage or other property damage in apparent excess of \$1,000 is incurred.

Post-Accident/Post-Incident Testing Related to the Operation of a Commercial Motor Vehicle

Post-accident alcohol and controlled substances testing for Commercial Motor Vehicle Operators will take place as soon as practicable following an occurrence involving a commercial motor vehicle operating on a public road in commerce, for each surviving driver:

- Who was performing safety-sensitive functions with respect to the vehicle, if the accident involved the loss of human life; or

- Who receives a citation within 8 hours of the occurrence under State or local law for a moving traffic violation arising from the accident, if the accident involved:
 - Bodily injury to any person who, as a result of the injury, immediately receives medical treatment away from the scene of the accident; or
 - One or more motor vehicles incurring disabling damage as a result of the accident, requiring the motor vehicle to be transported away from the scene by a tow truck or other motor vehicle.
- As soon as practicable following an occurrence involving a commercial motor vehicle operating on a public road in commerce, each employer shall test for controlled substances for each of its surviving drivers:
 - Who was performing safety-sensitive functions with respect to the vehicle, if the accident involved the loss of human life; or
 - Who receives a citation within thirty-two hours of the occurrence under State or local law for a moving traffic violation arising from the accident, if the accident involved:
 - Bodily injury to any person who, as a result of the injury, immediately receives medical treatment away from the scene of the accident; or
 - One or more motor vehicles incurring disabling damage as a result of the accident, requiring the motor vehicle to be transported away from the scene by a tow truck or other motor vehicle.

Employees will not be permitted to drive themselves to a test after an accident. In all cases, post-accident testing under this policy must be performed within eight hours for alcohol and within 32 hours for controlled substances.

Random Testing

All individuals subject to this policy may be required to submit to a random alcohol or drug test at any time while at work for the Company. The selection of employees for random alcohol and drug testing shall be made by a scientifically valid method using a computer generated selection list. HCF has contracted with an outside vendor to manage this process. Under the selection process, each employee shall have an equal chance of being tested each time selections are made.

Reasonable Suspicion Testing

All employees will be required to submit to an alcohol or drug test at any time when the Company has a reasonable suspicion that the employee has violated the drug and alcohol

prohibitions stated within this policy. Additionally, all employees will be required to submit to an alcohol or drug test at any time when the Company has a reasonable suspicion that the employee's use of alcohol or a controlled substance contributed to an accident on company time that resulted in a personal injury or involved a motor vehicle operating on a public road.

The Company's suspicion may be based on observation of the employee's appearance, behavior, speech, or body odors. The observations may include, but are not limited to:

- Observable phenomena, such as direct observation of drug or alcohol use, possession or distribution, or the physical symptoms of being under the influence of drug or alcohol, such as but not limited to slurred speech, dilated pupils, odor of alcohol or marijuana, changes in affect, dynamic mood swing, etc.; or
- The identification of an employee as the focus of a criminal investigation into unauthorized drug possession, use, or trafficking; or
- A report of on-the-job alcohol use or drug use provided by a reliable and credible source.

Employees who are directed to undergo a reasonable suspicion test will be provided transportation to the collection site and then home. Under no circumstances will an employee be permitted to drive his/her self to be tested.

The employee will be suspended without pay pending the test results. Should the employee test negatively, the employee will receive back pay from the day of his/her suspension to the time of reinstatement.

Reasonable Suspicion Testing and Commercial Motor Vehicle Operators

Drivers subject to Part 382 of the Federal Motor Carrier Safety Regulations are required to submit to alcohol and/or controlled substances reasonable suspicion testing when the driver's trained supervisor or a company official has a reasonable suspicion to believe the driver has violated the prohibitions of subpart B of Part 382 of the Federal Motor Carrier Safety Regulations concerning alcohol or controlled substances.

The determination that reasonable suspicion exists to require the driver to undergo alcohol and/or controlled substances testing will be based on specific, contemporaneous, articulable observations concerning the appearance, behavior, speech or body odors of the driver, including the chronic and withdrawal effects of controlled substances.

DOT reasonable suspicion testing related to alcohol misuse will be authorized only if the observations discussed above are made during, just preceding, or just after the period of the work day that the driver is required to be in compliance with Part 382 of the Federal Motor Carrier Safety Regulations. In keeping with the Federal Motor Carrier Safety Regulations, a driver may be directed by a supervisor or a company official to only undergo reasonable suspicion testing while the driver is performing safety-sensitive functions, just before the driver is to perform safety-sensitive functions, or just after the driver has ceased performing such functions.

Return- to-Duty Testing

Return-to-duty testing takes place whenever an employee returns to work from an approved leave of absence of 30 days or more or when an employee is suspended as a result of violating this policy.

All employees who return to work from a leave of absence lasting 30 days or more are required undergo testing for controlled substances within three business days of returning to work. Returning employees are not allowed to perform safety-sensitive functions without verification of a negative test result.

Any employee who, in lieu of discharge, has been suspended for violating this policy will be required to provide a return-to-duty test prior to returning to his/her job duties. The employee is responsible for the cost of this test.

Follow-up Testing

Individuals may be subject to unannounced follow-up controlled substances testing as directed by a qualified substance-use professional following a return-to-duty test or a determination that assistance is needed in resolving problems associated with the use of a controlled substance. Payment for all follow-up testing is the responsibility of the employee.

Other Testing Scenarios

In addition to the aforementioned tests, employees will be required to comply with all project specific alcohol and drug testing requirements established by the individual drug and alcohol policies of HCF's customers.

Employee Referral, Evaluation and Treatment

The Company will maintain a list of local community resources to confidentially aide employees who come forward voluntarily to self-disclose a substance abuse issue.

The Company may, in its sole discretion, suspend employees who test positive for alcohol or controlled substances without pay in lieu of immediate termination, and give them the option of undergoing an evaluation by a Substance Abuse Professional (SAP) or other qualified professional holding one the following credentials: Certified Employee Assistance Professional (CEAP); Certified Chemical Dependency Counselor (CCDCIII); Certified Prevention Specialist (CPS); or Certified Prevention Consultant (CPC). The employee is responsible for the full cost of the evaluation.

Reinstatement will be contingent upon the objective recommendation of a substance-use professional and the employee providing a return-to-duty test. The treating professional must authorize the employee's return to duty in addition to determining what assistance,

if any, the employee needs in resolving problems associated with the misuse of alcohol or controlled substance use. If a substance-use professional determines a referral to a treatment provider is necessary, the employee is responsible for the full cost of these services.

Continued employment is contingent upon the employee complying with the substance-use professional's recommendations. Any future violations of the prohibitions listed in this drug and alcohol policy will result in disciplinary action, up to and including termination of employment.

Drug Testing Assurances

The following employee/applicant protections will be incorporated to ensure the accuracy and integrity of the testing program:

- Only laboratories certified by the Department of Health and Human Services will be used.
- A strict chain-of-custody procedure will be used to ensure compliance with the Federal Motor Carrier Safety Regulations when DOT testing is performed. In cases of non-DOT testing, HCF will adhere to the laboratory's chain-of-custody procedures to ensure individual privacy during the collection process as well as the confidentiality of test results, and the integrity of each specimen.
- All positive or diluted drug screens will be confirmed by a second analytical procedure (gas chromatography/mass spectrometry (GC/MS)) to identify the presence of a specific drug or metabolite. In alcohol testing, a second test, that provides quantitative data of alcohol concentration will be conducted after the completion of a screening test with a result of .04 or greater.
- All positive or diluted test results will be reviewed by a medical review officer (MRO) who will explore possible medical explanations for a positive result. The MRO will contact any employee with a positive test result and provide them with the opportunity to discuss the test result prior to rendering a final decision.
- After being notified of a positive or diluted test result for the initial test, the employee will have 72 hours to request a test of the split specimen at his or her own expense. If the second test result is negative, the Company will reimburse the employee for the cost of the test.
- All information, interviews, reports, statements and drug test results, written or otherwise are confidential communications, unless authorized by state or federal laws, rules, or regulations.

Confidentiality and Employee Access to Records

To protect the privacy of all HCF employees, records related to alcohol misuse and controlled substances use as contemplated within this policy will be maintained in a secure location with controlled access.

Upon written request, an employee may obtain copies of certain records pertaining to his/her use of alcohol or controlled substances, including records pertaining to alcohol or controlled substances tests.

Policy changes

The goal of this policy is to balance our respect for individuals with the need to maintain a safe, productive, and drug-free environment. HCF reserves the right to amend any or all of this drug and alcohol policy, as it deems necessary.

EMPLOYEE HANDBOOK RECEIPT & ACKNOWLEDGMENT

Please read the following statements and sign below to indicate your receipt and acknowledgment of HCF Employee Handbook

- I acknowledge that I have received a copy of HCF Employee Handbook.
- I agree to read it thoroughly, including the statements in the section About This Handbook describing the purpose and effect of the Handbook.
- I agree that if there is any policy or provision in the Handbook that I do not understand, I will seek clarification from the home office.
- I understand that HCF is an "at-will" employer and as such employment with HCF is not for any specific time, definite or indefinite, and may be terminated at-will, with or without cause and without prior notice, by the Company or I may resign at my own volition at any time. No supervisor or other representative of the Company (except the President) has the authority to enter into any agreement, oral or written, for employment for any specified period of time, or to make an agreement contrary to the above.
- I understand that nothing contained in the Handbook may be construed as creating a promise of future benefits or a binding contract with HCF for benefits or for any other purpose.
- I also understand that this Handbook states HCF policies and practices in effect on the date of publication.
- In addition, I understand that these policies and procedures are continually evaluated and may be amended, modified or terminated at any time.

Please sign and date this receipt and return it to your assigned office.

Signature: _____

Date: _____

Print Name: _____

RECEIPT & ACKNOWLEDGMENT OF DRUG AND ALCOHOL POLICY

Please read the following statements and sign below to indicate your receipt and acknowledgment of HCF's drug and alcohol policy.

- I understand that I am subject to the terms and conditions of HCF's drug and alcohol policy. I further understand that I may be required to submit to alcohol and controlled substances tests during the course of my employment at HCF.
- I am aware that if I refuse to submit to an alcohol or controlled substances test or engage in conduct that obstructs the testing process that I will be subject to disciplinary action up to and including immediate dismissal. Furthermore, I understand that nothing in this policy changes the employment-at-will relationship that I have with the Company.
- I understand that until or unless proven otherwise, a positive test for alcohol or a controlled substance (drug) will be considered proximate cause of a workplace injury and the Company may seek disallowance of a workers' compensation claim should I test positive for alcohol or controlled substances after a work-related accident or injury. Moreover, I realize that my refusal to submit to any chemical test described within this policy may affect my eligibility for worker's compensation benefits.
- I understand that violations may lead to disciplinary action up to and including termination of employment, even for a first offense. I further understand that the Company does not guarantee that one form of action will necessarily precede another and nothing in this policy changes the employment-at-will relationship between me and the Company.
- If I have questions regarding HCF's drug and alcohol policy, I know to contact the Company's drug and alcohol program Administrator.

I acknowledge receipt of HCF's drug and alcohol policy and related materials.

Signature: _____

Date: _____

Print Name: _____